
MONEYRULES SERIES

Investor's Starter Kit

Index Funds, ETFs & Shares Explained

*Everything a beginner needs to start investing
with confidence — without the jargon.*

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Why Invest At All?

Cash in a savings account quietly loses value to inflation every year. Investing puts your money to work in real businesses so it can grow faster than prices rise. Over decades, that difference is life-changing — but only if you start, stay invested, and keep costs low.

Time in the market beats timing the market.
Starting early matters more than starting big.

The Building Blocks

Type	What it is	Best for
Index fund	Owns every company in an index (e.g. FTSE All-World)	Hands-off, long-term core
ETF	An index fund that trades like a share	Low fees, flexibility
Individual share	A stake in one company	Higher risk, optional slice
Bond fund	Lends to governments/companies for interest	Stability nearer retirement

For most people, a single low-cost global index fund or ETF is 90% of the answer. It instantly spreads your money across thousands of companies in dozens of countries.

The Three Rules That Matter Most

1. Keep costs low — an ongoing fee of 0.2% vs 1.0% can cost you tens of thousands over a lifetime.
2. Diversify — never bet your future on one company or one country. A global fund does this automatically.
3. Stay invested — markets fall sometimes. The investors who win are the ones who do not panic-sell.

A 1% annual fee can quietly eat ~25% of your final pot over 30 years. Costs are the one thing you can control.

How To Actually Start (This Week)

Common Mistake

Waiting for the "perfect" moment to invest. Time in the market beats timing it — the best day to start was years ago; the second best is today.

Action Checklist

- Open a Stocks & Shares ISA with a low-cost platform.
- Choose ONE diversified global index fund or ETF to begin.
- Set up a monthly direct debit — even £25 builds the habit.
- Turn on automatic reinvestment of dividends.
- Ignore the daily noise. Review once or twice a year, not daily.

Use the Investment Growth Calculator in this pack to see how your monthly contribution could grow over 10, 20 and 30 years.

Thank you for reading.

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